

INTRODUCTION

The momentum effect is one of the strongest and most pervasive financial phenomena (Jegadeesh and Titman 1993, 2001). Researchers have verified its value with many different asset classes, as well as across groups of assets (Blitz and Van Vliet 2008; Asness, Moskowitz and Pedersen (2013). Since its publication, relative strength momentum has held up out-of-sample going forward in time (Grundy and Martin 2001; Asness et al. 2013) and back to the year 1801 (Geczy and Samonov 2012).

In addition to relative strength momentum, in which an asset's performance relative to its peers predicts its future relative performance, momentum also works well on an absolute or time-series basis in which an asset's own past return predicts its future performance. In absolute momentum, we look only at an asset's excess return over a given look-back period. In absolute momentum, there is significant positive auto-covariance between an asset's return in the following month and its past one-year excess return (Moskowitz, Ooi and Pedersen 2012).

Absolute momentum is therefore trend following by nature. Trend-following methods, in general, have slowly achieved recognition and acceptance in the academic community (Brock, Lakonishok and LeBaron 1992; Lo, Mamaysky, and Wang 2000; Zhu and Zhou 2009; Han, Yang, and Zhou 2011).

Absolute momentum appears to be just as robust and universally applicable as relative momentum. It performs well in extreme market environments, across multiple asset classes (commodities, equity indexes, bond markets, currency pairs), and back in time to the turn of the century (Hurst, Ooi, and Pedersen 2012).

Despite an abundance of momentum research over the past 20 years, no one is sure why it works. Brown and Jennings (1989) developed a rational equilibrium-based model using historical prices with technical analysis. More recently, Zhou and Zhu (2014) identified equilibrium returns due to the risk-sharing function provided by trend-following trading rules, such as absolute momentum.

The most common explanations for both momentum and trend-following profits, however, have to do with behavioral factors, such as anchoring, herding, and the disposition effect (Tversky and Kahneman 1974; Barberis,